Credit Memo: Distressed Credit
Bausch Health Companies (NYSE: BHC)

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CREDIT INVESTMENT AND THESIS:

Bausch Health Companies presents a compelling mispriced distressed credit opportunity driven by a fundamental disconnect between market-implied outcomes and underlying asset value. Consensus is anchored to an overly simplistic “patent cliff” narrative around Xifaxan, extrapolating a rapid revenue collapse and near-zero free cash flow post-2028, ultimately implying forced asset sales and impaired creditor recoveries.

We believe this view materially mischaracterizes both the timing and severity of erosion, while underappreciating the durability of the HE franchise, the staggered nature of generic entry, and the embedded optionality within BHC’s asset base (most notably BLCO and Solta.) As a result, the market is systematically undervaluing forward cash flow generation and recovery value across the capital structure, creating an attractive asymmetric opportunity, particularly in the 2L and near-dated unsecured bonds, where we see equity-like returns with materially lower default risk.

PRO FORMA CAPITAL STRUCTURE:

Instrument	Maturity	Coupon	Face O/S	Price	YTW	TTM Lev	Rating	Reccomendation
AR Credit Facility	4/8/30	S+435	30				Caa1/B-/NR	*NA*
2030 Term Loan B	10/8/30	S+625	2,843	96.5	10.9%		Caa1/B-/NR	HOLD
4.875% 1L Secured Notes	6/1/28	4.875%	803	91.3	9.4%		Caa1/B-/NR	BUY
11.00% 1L Secured Notes	9/30/28	11.000%	888	102.0	10.1%		Caa1/B-/NR	BUY
10.00% 1L Secured Notes (New)	4/15/32	10.000%	6,000	102.0	9.4%		Caa1/B-/NR	HOLD
TOTAL 1L SECURED DEBT			**10,564**			**3.8x**		
14% 2L Secured Notes	10/15/30	14.000%	352	94.8	15.6%		Caa3/CCC+/NR	BUY
TOTAL SECURED DEBT			**10,916**			**3.9x**		
8.50% Senior Notes	1/31/27	8.500%	643	99.1	9.5%		Ca/CCC+/NR	AVOID
7.00% Senior Notes	1/15/28	7.000%	171	87.7	15.0%		Ca/CCC+/NR	BUY
5.00% Senior Notes	1/30/28	5.000%	433	83.7	15.4%		Ca/CCC+/NR	BUY
6.25% Senior Notes	2/15/29	6.250%	821	73.2	18.6%		Ca/CCC+/NR	AVOID
5.00% Senior Notes	2/15/29	5.000%	452	71.0	18.3%		Ca/CCC+/NR	AVOID
7.25% Senior Notes	5/30/29	7.250%	336	73.2	18.8%		Ca/CCC+/NR	AVOID
5.25% Senior Notes	1/30/30	5.250%	779	64.0	18.8%		Ca/CCC+/NR	AVOID
5.25% Senior Notes	2/15/31	5.250%	463	60.0	17.8%		Ca/CCC+/NR	AVOID
Other			12					*NA*
TOTAL UNSECURED DEBT			**4,110**			**1.5x**		
TOTAL BAUSCH DEBT			**15,026**			**5.4x**		
Cash			**1,299**					
Equity Value			**2,120**					Buy
Enterprise Value			**15,847**			**5.7x**		

MARKET CONSENSUS AND ERROR:

Our investment thesis is anchored in the view that the market misinterprets Bausch Health Companies across several key areas:

- The market assumes a sharp, single-event revenue cliff following Xifaxan’s loss of exclusivity (LOE) in January 2028, with immediate, simultaneous generic entry driving a +50% decline in Year 1 and an additional +30% decline in Year 2
- As a result, consensus expects post-LOE free cash flow to collapse to near zero

- This perceived cash flow deterioration implies that BHC would be forced into a distressed or fire-sale divestiture of BLCO
- Finally, the market assigns overly low valuation multiples to the International Rx, Solta, and Diversified segments, reflecting an undifferentiated and overly punitive view of their earnings quality

Our analysis challenges the market's core assumptions around Xifaxan's LOE trajectory, the likelihood, timing, and valuation of a BLCO sale, and the valuation of BHC's underlying segments. We view the widely assumed revenue cliff and post-LOE free cash flow collapse as second-order consequences of these misinterpretations and not primary drivers of value. We believe the market undervalues Bausch Health Companies and Xifaxan due to three core misunderstandings:

1. Xifaxan is a one-of-a-kind drug and exhibits unusually high switching costs
2. It targets two distinct diseases with durable, diversified revenue streams, with HE exclusivity extending through October 2029.
3. Bausch retains high-quality, growing segments, particularly Solta, that offer both monetization optionality and durable cash flow generation.

1. Xifaxan LOE Will Not Follow a Standard Generic Erosion Curve

We believe Xifaxan is pharmacologically and commercially different from comparable drugs, resulting in less severe revenue erosion post-LOE.

Xifaxan (rifaximin) is a BCS Class IV drug (low solubility, low permeability), requiring additional human clinical testing beyond standard bioequivalence trials, thus increasing the complexity, cost, and timeline of generic entry.

This dynamic is already observable in the European market. Despite Xifaxan's exclusivity expiring in mid-2025, there has been no meaningful generic entry. This provides a highly relevant real-world data point: a market with no patent protection, a regulatory framework supportive of generics, and clear commercial incentives and yet still no successful generic penetration. The absence of entry reflects the clinical and regulatory complexity of establishing bioequivalence for this molecule. If the European experience is indicative, and it is the only directly comparable post-exclusivity market, Xifaxan's generic erosion is likely to be slower and less severe than a standard LOE trajectory.

However, in the US, the FDA has accepted bioequivalence study designs from Teva, Sandoz, Sun, and Amneal, positioning these players for potential generic entry. Crucially, these designs did not incorporate traditional in vivo (human) studies, calling into question the clinical robustness of equivalence and the ultimate effectiveness of generic substitution.

Switching costs for Xifaxan, particularly in hepatic encephalopathy (HE), are structurally high. The prescribing decision is physician-driven, not patient-driven, and therefore less sensitive to price than typical generic substitution. Physicians are primarily incentivized to minimize clinical and malpractice risk, especially for chronic, high-risk conditions like HE.

As a result, the threshold to switch to a generic is meaningfully higher. This is further reinforced by uncertainty around the clinical robustness of generic equivalents, which reduces physician willingness to substitute away from Xifaxan.

That said, we do expect more meaningful erosion in the IBS-D indication, which accounts for approximately 60% of Xifaxan revenue and is more exposed to conventional generic substitution dynamics.

In fact, there are multiple drugs that treat IBS-D and HE. However, they are less effective than Xifaxan, thus Xifaxan is preferred. For the reasons mentioned, we believe generics will be less effective, resulting in less revenue erosion than expected by the market.

Historical LOE Erosion vs. Xifaxan: Why Standard Benchmarks Break Down

Drug	LOE Year	Generic Entry Profile	Revenue Erosion	Substitution Dynamics	Erosion Drivers
Lipitor	2011	Multiple Generics within months	Year 1: ~ 60% Year 2: ~ 80%	FULL: AB-rated, simple oral, primary care	Commodity molecule & rapid multi-player entry
Plavix	2012	Immediate Multiple Generic Entry	Year 1: ~70% Year 2: ~90%	FULL: AB-rated, primary care	Instant generic flood; payer-driven substitution
Nexium	2014	Multiple Generic Entry + OTC Alternatives	Year 1: ~40% Year 2: ~70%	FULL: OTC switch	OTC availability & payer pressure
Seroquel XR	2012	Limited Initial Entry	Year 1: ~40% Year 2 ~40%	PARTIAL: formulation limits substitution	Extended release & formulation complexity
Xifaxan	2028	**Expected:** limited and staggered entry	**Year 1E**: ~30% **Year 2E**: HE Steady	LIMITED: physician-driven; constrained substitution in HE	BCS Class IV; clinical complexity; physician-controlled; indication split (HE vs IBS-D)

2. Xifaxan's Overlooked Indication Split Extended 2029 HE Protection

Xifaxan is often modeled as a single product facing a single LOE event in 2028. That framing is fundamentally incorrect. While Xifaxan is one drug, it treats two different diseases, and it represents two distinct revenue streams: IBS-D and hepatic encephalopathy (HE):

- **IBS-D (Irritable Bowel Syndrome with Diarrhea)**
  - Treats Travelers Diarrhea
  - Represents approximately 55–60% of Xifaxan sales
  - Short-course treatment (typically ~2 weeks)
  - Primarily outpatient, commercially insured
  - This is the portion exposed to generic competition starting in 2028
- **HE (Hepatic Encephalopathy)**
  - Manages the symptoms of a liver disease HE.
  - Represents approximately 40–45% of Xifaxan sales
  - Chronic, lifelong therapy (taken daily, indefinitely)
  - Diagnosed and managed by hepatologists
  - 500,000 Americans have HE and 20,000 to 40,000 get hospitalized annually
  - Globally 60 million people are diagnosed with cirrhosis, and 40% develop HE.
  - HE portion is protected until October 2029

The Federal Circuit confirmed in April 2024 that BHC's HE patents are valid and infringed, and a district court ruling in 2025 prevents the FDA from approving any HE-labeled generics before October 2029. This means meaningful generic competition in HE generics is legally blocked until 2029.

There is also no easy workaround for competitors: current generic approvals, such as Amneal's, apply only to IBS-D, and expanding into HE would require additional clinical trials and a supplemental regulatory process, which is both time-consuming and uncertain. As a result, generics entering in 2028 cannot directly compete for HE prescriptions.

As mentioned earlier, from a clinical view, substitution is also inherently difficult. Because no HE-labeled generic exists, pharmacists cannot automatically substitute a generic. Any change in treatment requires an active decision by the physician. This is particularly important given the nature of the patient's condition: HE patients are typically very sick, often with advanced liver disease, and require continuous, long-term therapy.

Key Point: Although IBS-D accounts for most sales, the HE segment is far more valuable from a credit perspective. These patients depend on Xifaxan daily and indefinitely, making this 40–45% of revenue highly recurring, resistant to switching, and protected until 2029.

These dynamics have a clear economic implication for Bausch Health Companies: Xifaxan revenue is likely to be more durable and decline more gradually than the market expects. The HE segment, which accounts for approximately 40–45% of total revenue, remains protected through 2029, ensuring that a meaningful portion of sales persists even after initial generic entry in 2028. Meanwhile, high clinical switching costs and limited automatic substitution slow erosion within the IBS-D segment.

As a result, rather than a sharp revenue cliff, BHC is more likely to experience a staged and gradual decline, preserving a significant portion of its cash flow. Given that Xifaxan is one of the company's largest and highest-margin products, this durability supports earnings and operating cash flow through the 2026–2028 period, providing BHC with greater flexibility to manage its capital structure and pursue strategic actions.

Importantly, generic competition is also likely to be phased rather than immediate. Under the Hatch-Waxman framework, initial entry is expected to be limited, with a single generic entrant in early 2028, followed by broader competition beginning in the second half of the year. This staggered entry further controls near-term erosion.

Finally, the market's implied revenue decline appears inconsistent. Xifaxan revenue is split between IBS-D, which loses exclusivity in 2028, and HE, which remains protected until October 2029. For total revenue to decline by ~44–50% in 2028, the IBS-D segment alone would need to fall by approximately 57–60% within a single year, an outcome that appears unlikely given the combination of limited initial competition, clinical complexity, and physician-driven prescribing dynamics.

Stage	What Happens	Who Benefits	Economic Impact
Day 1 of generic entry	First generic (Teva for Xifaxan) launches exclusively. FDA cannot approve any other generic ANDA.	Teva exclusively	Generic price ~60-80% of brand. Teva captures IBS-D volume at high margin. Brand Xifaxan retains 20-40% volume.
First 180 days	Teva's 180-day exclusivity window. Teva is the only generic. No Sandoz, Sun, Amneal, or Norwich can enter.	Teva exclusively	Teva's revenues during this window are estimated at $200-400mn depending on penetration rate. This is why Teva spent millions litigating to protect this right.
Day 181+	Teva's exclusivity expires. All other approved ANDAs can get final FDA approval and launch.	All generics + patients	With 3-4 generics: price drops to ~30-40% of brand WAC. Brand Xifaxan market share collapses to 50%.
October 2029 & Beyond	Norwich HE ANDA and Amneal (if they add HE) can launch for hepatic encephalopathy.	HE generic entrants	The 40-45% of Xifaxan revenue from HE finally faces generic competition for the first time.

- In the first half of 2028, there is only one generic competitor. In this situation, generics are usually priced at about 65–70% of the brand, and the original drug can still keep around 25–40% of its volume. This suggests a more moderate decline of about 20–30% in IBS-D, not a sharp collapse.

- Bigger price drops usually happen only when multiple generics enter, which would only happen in the second half of 2028. So most of the pressure comes later, not immediately.
- Also, the HE part of the business is fully protected until late 2029, so a large part of the revenue is not affected at all in 2028.
- Putting this together, revenue decline should be gradual, not sudden. A more realistic estimate for 2028 revenue is around $1.2–1.38 billion, which is higher than what is being assumed. This adds about $30–138 million in extra cash flow for the year.
- Combined with stronger performance in earlier years, this gives the company more financial flexibility, lowers risk, and gives more time before needing to make big decisions like selling assets. There is some risk that Amneal Pharmaceuticals could enter earlier due to litigation, but this would only affect IBS-D and not HE. (And we agree with the market that Amneal Lawsuit will not result in LOE in 2027)

3. BLCO is Undervalued and Current Stock Price Isn't the Best Measure

We believe BLCO is significantly undervalued, and it understates recovery of the bonds. BLCO is one of the most important assets in BHC's capital structure because BHC owns approximately 88.7% of BLCO. This means that BLCO's equity value directly affects how much value is available to BHC creditors. The market is still using a conservative BLCO valuation, but recent Q1 2026 results show that BLCO is growing, improving margins, and raising guidance. Because the bond market has not fully incorporated this improvement, BHC's bonds remain mispriced.

1. **BLCO's Q1 2026 results were stronger than expected.** BLCO's recent results support a higher valuation because the company is growing revenue, improving profitability, and performing better than consensus expected. In Q1 2026, BLCO reported $1.244 billion of revenue, up 9% year over year. This was also above market expectations of roughly $1.22 billion.
    a. Proof Reason 1: Growth was broad-based across BLCO's business segments. Vision Care revenue increased 8%, Surgical increased 7%, and Pharmaceuticals increased 14%. Important products also grew strongly: MIEBO grew 33%, XIIDRA grew 30%, LUMIFY grew 15%, and contact lenses grew 23%. This shows that BLCO's growth is not dependent on one isolated product; it is coming from multiple parts of the business.
2. **BLCO's margin improvement is structural, not temporary.** BLCO is not only growing revenue; it is also becoming more profitable. This matters because a higher-margin business deserves a higher valuation multiple. In Q1 2026, BLCO reported adjusted EBITDA (excluding acquired IPR&D) of $200 million, up from $126 million in Q1 2025. That represents 59% yoy growth. Its adjusted EBITDA margin expanded to 16.1%, up from 11.1% the prior year, a 500 basis point improvement.
3. **Reason 3:** BLCO raised guidance, confirming management confidence. BLCO's Q1 results were strong enough that management raised full-year 2026 guidance less than 75 days after issuing the original guidance. BLCO increased its FY2026 revenue guidance from $5.375–$5.475 billion to $5.420–$5.520 billion, raising the midpoint by approximately $45 million. It also raised adjusted EBITDA excluding acquired IPR&D guidance from $1.000–$1.050 billion to $1.010–$1.060 billion, raising the midpoint by approximately $10 million.

Key Point: BLCO is mispriced because the market continues to apply conservative assumptions despite clear evidence of improving fundamentals. The company is now delivering stronger revenue growth, meaningful margin expansion, and has already raised guidance. This discount was previously justified by concerns around weak growth and margins, but recent results directly contradict those concerns. At the same time, the bond market has not fully reflected this improvement because distressed credit reprices more slowly than equity. Many bondholders are constrained by mandates, ratings limits, or liquidity needs, which delays price adjustment even when underlying asset value improves. As a result, BLCO's equity value can increase while BHC's bonds remain priced using outdated assumptions, creating a disconnect between true asset value and current bond pricing.

Every $1/share in BLCO gives $350M to BHC Creditors

BLCO Price	BLCO Mkt Cap	After BLCO Net Debt (~$4.97bn)	Priority 1L Coverage ($9.14bn claim)	2L Recovery ($352mn)	Sr Unsec Recovery CS Model (no distr.)	Sr Unsec Recovery CS Model (distribution)	5.25% 2031 at $60 — Expected Return
$11/shr (stress)	$3.9bn	$(1.1bn)	~88% (impaired)	~43-58%	~49%	~22%	-18% — marginal
$13/shr (CS low-case)	$4.6bn	$(0.4bn)	~95% (partially impaired)	~78%	~69%	~37%	+15%
$15/shr (CS mid-case)	$5.3bn	$0.3bn equity	Par coverage	Par	100%	~81%	+67% — par recovery
$15.59/shr (current BLCO price)	$5.5bn	$0.6bn equity	Par + cushion	Par	100%+	~83%	+67%+ — confirmed
$16.50/shr (post Q1 2026 beat re-rate)	$5.84bn	$0.9bn equity	Par + growing cushion	Par	100% comfortably	~89%	+67%; adds $240mn proceeds vs. $15 base
$17/shr (modest re-rate from $15.59)	$6.02bn	$1.1bn equity	Par + equity residual	Par	100% in ALL CS scenarios	~95%	+67%; adds $420mn proceeds vs. $15 base
$18.60/shr (52-week high)	$6.59bn	$1.6bn equity	Par + growing equity residual	Par	100% with material equity surplus	100%	Maximum upside; $650mn above $15 base

4. Solta is the Crown Jewel

One of the most persistent market views is that BHC will be forced to sell BLCO, and the remaining business is evaluated at a deeply discounted multiple that reflects an overleveraged, declining company with little to no growth.

This market view ignores that BHC operates three additional segments that collectively generate approximately $2.59 billion of revenue and approximately $986 million of EBITDA at current margins and are entirely independent of Xifaxan's patent status.

We believe Solta Medical is the most important of these segments from a valuation perspective. We have personally used Solta's main products Fraxel and Thermage in the past and have first handdly witnessed exponential demand growth in Asia.

- Solta generated $518 million of FY2025 revenue at approximately 50% EBITDA margins, with almost over 20% growth for the past years. Solta is rapidly growing in South Korea and China.
- For example, the company acquired Shibo Zhenmei (in December 2025) distribution business in China for $87 million to expand China's business. There is a significant on-going "beauty boom" in South Korea and China where Solta can capture EBITDA growth and multiple expansion.
- Also, the company tried to IPO Solta before. In 2022, BHC withdrew its Solta IPO filing because of the weak IPO market, but the underlying business has continued to grow rapidly. The company is currently estimated at 8-8.5x multiple.
- The global energy-based aesthetic device market is projected to grow at 13 to 14 percent compound annual growth rate through 2033 according to Astute Analytica's October 2025 industry report, providing a durable secular tailwind that is entirely decoupled from Xifaxan's commercial trajectory.
- At a 20% CAGR sustained through 2029 (below Solta's recent run rate) Solta reaches approximately $1.1 billion of revenue and approximately $550 million of EBITDA, worth approximately $4.5 billion at a 8x multiple, or nearly double the current BLCO-adjusted BHC equity market cap. Also, many cosmetic companies that have South Korea and China exposure have been trading at almost 20x. If we give a relatively conservative multiple to Solta of 15x - 20x, that is $8.5bn to $10bn, enough to service most debt.

Company	Ticker	Revenue (FY25A)	EBITDA (FY25A)	EBITDA	Rev growth (YoY%)	EV	EV/EBITDA
InMode	INMD	$371M	~$96M	~26%	-6%	~$420M	4.4x
Classys	214150	$176M	~$120M	~48–52%	35%	~$2.1B	18–22x
Huge	145020	$262M	~$155M	~45–47%	14%	~$2.5B	16–18x
Jisys Medical	287410	~$90M	~$22M	~24%	20%+	~$350M	~15–16x
Solta	*NA*	$518M	$261M	50%	17.70%	*NA*	*NA*

The argument for 15–20x: The market values Solta at a 8.5x EV/EBITDA, consistent with broad US med-device comps. But Solta is not a broad med-device company, it is a high-growth aesthetic energy-based device business with 50%+ EBITDA margins, 20%+ revenue growth, global brand recognition (Thermage, Fraxel), and expanding recurring consumables revenue.

- The comparable companies, Classys (35% revenue growth, 48-52% EBITDA margin, 18-22x EV/EBITDA) and Hugel (14-15% growth, 45-47% EBITDA margin, 16-18x EV/EBITDA), both trade at 16-22x.
- The correct comparable universe is the Korean high-growth aesthetic peer group, not legacy US device makers. At 17x FY2025 EBITDA ($262mn), Solta is worth ~$4.5bn of enterprise value, more than double the market's estimate, and represents the largest single source of upside optionality in the BHC sum-of-parts beyond the BLCO sale itself.
- It is also very important to note that majority of Solta's growth comes from Korea and China, and potential buyer will be from the region who is more willing to give 10x+ valuation.

RISK AND RETURN ANALYSIS:

Based on our contrarian view, we recommend the following:

Priority 1L ($10.8bn): *AVOID the 10% Notes and TLB, and Buy Legacy 1L*

- **HOLD:** 10% Priority 1L Notes 2032 ($102, 9.4% YTW)
  - We believe most are already "priced-in"; the bond has "***double-dip"*** but because we expect par recovery, it is not relevant.
  - upside capped at 3-5pts (105% call vs $102); downside 15-20pts if BLCO sale slips to 2028 or BLCO trades below $12.
  - At $102 you earn 9.4% YTW to take BLCO timing risk (which is not sufficient, especially as BLCO and Solta becomes more critical after LOE, 2028~. Even though maturity is in 2032, the additional return does not suffice additional risk for 4y+)
  - It is most likely that the bond will be paid in full, but we believe the return (at the current rate) is NOT lucrative compared to others
- **HOLD:** 2030 Term Loan B ($96.5, 10.9% YTW)
  - TLB is strictly better risk/return than the 10% notes (same trigger, 150bps more carry, $3.5pts price upside to par, floating rate, but matures two years earlier, meaning less risk).
  - However, similarly, we believe there are better risk/return in different capital structure. Marginally better than other 1L but still Poor risk/return
- **BUY:** Legacy 1L 2028s (4.875% at $91.5, 11% at $102)
  - Given their our analysis is much more optimistic than the market (even more optimistic than Credit Sight's view), we believe it is less likely that the bond will be default before maturity.
  - The bond at the current price offers YTW of 9~10%, which is almost equity return. Given that we believe it is extremely less likely that the bond will default, we believe this is a great opportunity to have equity-like return for BB like default probabilities (especially given that we believe LOE will happen post 2028 with lesser revenue erosion)
  - However, we believe other capital structure offers more attractive risk and return profile.

2L Secured Notes ($352mn, $95, 15.6% YTW): *Strong Buy with Good Risk/Return*

- **BUY:** 14% 2L Notes ($94.8, 15.6% YTW)
  - We believe 2L is essentially a high-yield bond treated (by the market) as distressed credit. We expect 14% coupon, with near-certain par recovery, and the only real risk is BLCO fire sale and Solta's underperformance, which we believe is less likely.
  - However, the unsecured are the better absolute return trade if you have conviction on the thesis. But the 2L makes sense as a lower-volatility complement, particularly for a position where you want credit exposure to BHC without taking additional risk.

Senior Unsecured Notes: *Weaker Marginal Yield / Risk*

- **HOLD (DON'T BUY):** 8.5% Sr Unsec 2027 ($99.1, 9.5%)
  - Although we expect full recovery and 9.5% YTW is attractive, it is not as attractive as Legacy 1L 2028 or 2L.
  - We also believe this will expose us to **reinvestment risk** and **high opportunity cost** of missing investment in other capital structures.
- **BUY:** 5.0%, 7.0% Sr Unsec 2028 ($87.7, $83.7, 15.0%, 15.4%)
  - The bond offers more than sufficient return given that they mature in January of 2028, only a single competitor starts generic
  - We are highly optimistic that the bond will be paid in par

- **AVOID:** 5.0%, 6.25%, 7.25% Sr Unsec 2029 (18.3-18.8%)
  - Although the bond has highly attractive return, we believe 300bps point is not sufficient to take over 2028 Sr Unsec.
  - If our analysis on LOE, Solta, and BLCO is wrong, this will more than likely be impaired. 300bps is not sufficient to take additional risk for another year when LOE and related revenue erosion significantly worsens
- **AVOID:** 5.25% 2030 + 5.0% 2030, 5.25% Sr Unsec 2031
  - Same reason as above. 2028 and 2L already provides lucrative return of 15%, and we believe there is NO merit in taking additional risk (of impairment) for 300bps.
- We believe the Sharpe ratio for post 2029 senior unsecured is relatively lower compared to the legacy 1L, 2L, and pre-2029 senior unsecured. We still believe that there is higher chance (much higher than market's assumption) of BHC not going bankrupt. However, that alone does not justify BUY on senior unsecured as there are more attractive investment opportunities (like 1L, 2L, possibly equity), and therefore, we recommend hold on senior unsecured.

***Equity:** Strong Buy with Optionality*

- However, while we acknowledge a non-zero probability of a restructuring scenario, we view bankruptcy risk as materially overstated by the market given BHC's asset coverage and cash flow durability.
- Our conviction is anchored in the value and monetization potential of Solta, which we believe is significantly mispriced and represents the primary source of equity upside. At ~50% EBITDA margins and sustained 20%+ growth, Solta is structurally more comparable to high-growth Asian aesthetic peers trading at 15–20x EV/EBITDA, implying a standalone valuation of $4.5–$8.5bn versus the market's implied ~8x multiple. This alone supports a substantial portion of BHC's enterprise value and provides a credible path to deleveraging without distressed asset sales.
- In parallel, BLCO offers additional optionality, with improving fundamentals and recent guidance revisions supporting a higher equity valuation and incremental recovery for stakeholders. Importantly, both assets are monetizable and largely independent of Xifaxan's LOE dynamics, creating multiple avenues to address the capital structure. As a result, we believe the market is overly discounting a downside scenario while failing to fully incorporate asset-level value, leaving BHC equity mispriced with asymmetric upside at current levels.

	Bear Case (15%)	Base Case (60%)	Bull Case (25%)
Xifaxan LOE Timing	Amneal wins IBS-D litigation (summer 2026), pushing LOE to 2027. Pre-2028 cash cushion eliminated ($500–900mm shortfall).	LOE Jan 2028 (Teva first filer). HE protected through Oct 2029. Staggered entry (Teva H1 2028).	LOE Jan 2028; Class IV limits IBS-D erosion to ~15–20%.
2028 Revenue	~$900mm	~$1.68bn	~$1.9bn
BLCO Sale Price	$11–13/share; distressed forced sale	$15–17/share; market-clearing	$18–21/share; control premium
BLCO Sale Timing	Forced 2027; adverse terms	2026–2027 at management discretion	2026 optimal timing
Use of BLCO Proceeds	Distributed to shareholders; weak recovery (~30–50%)	Applied to capital structure	Fully used for deleveraging
Solta Valuation	~8.5x (~$2.2bn)	~15x (~$4.5bn)	18–20x (~$7–10bn)
BHC SOTP (ex-BLCO)	~$7.1bn	~$9.0bn	$10bn+
Sr. Unsecured Recovery	~25–45%	~83–100%	100%+

PRO FORMA MODEL:

Bausch Health Company (Ex-BLCO MODEL)										
(in $ mm)	**2023 A**	**2024 A**	**2025 A**	**2026 E**	**2027 E**	**2028 E**	**2029 E**	**2030 E**	**2031 E**	**2032 E**
Revenue Assumption										
Salix — Xifaxan (IBS-D)		6.1%	11.6%	2.0%	2.0%	**-30.0%**	**-50.0%**	2.0%	2.0%	2.0%
Salix — Xifaxan (HE)		6.1%	11.6%	2.0%	-5.0%	2.0%	**-20.0%**	**-30.0%**	2.0%	2.0%
Salix — Xifaxan Total		**6.1%**	**11.6%**	**2.0%**	**-0.8%**	**-17.7%**	**-35.8%**	**-16.9%**	**2.0%**	**2.0%**
Salix — Other GI Products		-8.2%	4.0%	2.0%	2.0%	2.0%	2.0%	2.0%	2.0%	2.0%
SALIX TOTAL		**3.7%**	**10.5%**	**2.0%**	**-0.4%**	**-14.9%**	**-29.3%**	**-12.2%**	**2.0%**	**2.0%**
International Rx		3.7%	1.9%	1.0%	1.0%	1.0%	1.0%	1.0%	1.0%	1.0%
Solta Medical		26.8%	17.7%	20.0%	20.0%	20.0%	15.0%	15.0%	10.0%	10.0%
Diversified Products		0.7%	-1.4%	-2.0%	-2.0%	0.0%	1.0%	1.0%	1.0%	1.0%
TOTAL (ex-BLCO)		**4.8%**	**6.8%**	**2.9%**	**2.0%**	**-4.2%**	**-9.6%**	**-0.4%**	**3.6%**	**3.7%**
Revenue										
Salix — Xifaxan Revenue (IBS-D)	1,123	1,192	1,330	1,357	1,384	969	484	494	504	514
Salix — Xifaxan Revenue (HE)	749	794	887	905	859	876	701	491	501	511
Salix — Xifaxan Total	**1,872**	**1,986**	**2,217**	**2,261**	**2,243**	**1,845**	**1,186**	**985**	**1,005**	**1,025**
Salix — Other GI Products	378	347	361	368	376	383	391	399	407	415
SALIX TOTAL	**2,250**	**2,333**	**2,578**	**2,630**	**2,619**	**2,228**	**1,576**	**1,383**	**1,411**	**1,439**
International Rx Revenue	1,071	1,111	1,132	1,143	1,155	1,166	1,178	1,190	1,202	1,214
Solta Medical Revenue	347	440	518	622	746	895	1,029	1,184	1,302	1,432
Diversified Products Revenue	943	950	937	918	900	900	909	918	927	936
TOTAL STANDALONE REVENUE (ex-BLCO)	**4,611**	**4,834**	**5,165**	**5,313**	**5,419**	**5,190**	**4,693**	**4,675**	**4,842**	**5,022**
EBITDA Margin										
Salix Adj EBITDA Margin	68.7%	68.7%	54.3%	54.3%	43.0%	39.0%	39.0%	39.0%	39.0%	39.0%
International Rx EBITDA Margin	31.3%	33.8%	25.2%	24.0%	24.0%	24.0%	24.0%	24.0%	24.0%	24.0%
Solta Medical EBITDA Margin	46.4%	48.4%	50.4%	51.0%	51.0%	51.0%	51.0%	51.0%	51.0%	50.0%
Diversified Products EBITDA Margin	62.1%	65.9%	46.7%	46.0%	45.5%	45.0%	45.0%	45.0%	45.0%	45.0%
Adj. EBITDA										
Salix Adj EBITDA	1,546	1,603	1,400	1,428	1,126	869	615	540	550	561
International Rx Adj EBITDA	335	376	285	274	277	280	283	286	288	291
Solta Medical Adj EBITDA	161	213	261	317	380	457	525	604	664	716
Diversified Products Adj EBITDA	586	626	438	422	409	405	409	413	417	421
Corporate Overhead (allocated)	(256)	(264)	414	422	431	439	448	457	466	476
TOTAL ADJ EBITDA (ex-BLCO)	**2,372**	**2,553**	**2,798**	**2,864**	**2,624**	**2,450**	**2,280**	**2,299**	**2,386**	**2,466**
Total EBITDA Margin %	*51.4%*	*52.8%*	*54.2%*	*53.9%*	*48.4%*	*47.2%*	*48.6%*	*49.2%*	*49.3%*	*49.1%*
Free Cash Flow										
Adj. EBITDA (ex-BLCO)	2,372	2,553	2,798	2,864	2,624	2,450	2,280	2,299	2,386	2,466
(-) CAPEX	(46)	(46)	(48)	(50)	(50)	(50)	(50)	(50)	(50)	(50)
(-) Interest Expense	(1,045)	(1,045)	(1,300)	(1,320)	(1,265)	(1,165)	(1,165)	(1,000)	(1,000)	(1,000)
Free Cash Flow	1,281	1,462	1,450	1,494	1,309	1,235	1,065	1,249	1,336	1,416
(-) Cash Taxes	(61)	30	(104)	(102)	(100)	(100)	(100)	(100)	(100)	(100)
(-) Working Capital	(50)	7	(219)	(100)	(100)	(100)	(100)	(100)	(100)	(100)
(-) Others	(200)	(464)	(299)	(300)	(300)	(300)	(300)	(300)	(300)	(300)
UNLEVERED FREE CASH FLOW	**970**	**1,035**	**828**	**992**	**809**	**735**	**565**	**749**	**836**	**916**
FCF Conversion (FCF / Adj EBITDA)	*40.9%*	*40.5%*	*29.6%*	*34.6%*	*30.8%*	*30.0%*	*24.8%*	*32.6%*	*35.0%*	*37.1%*